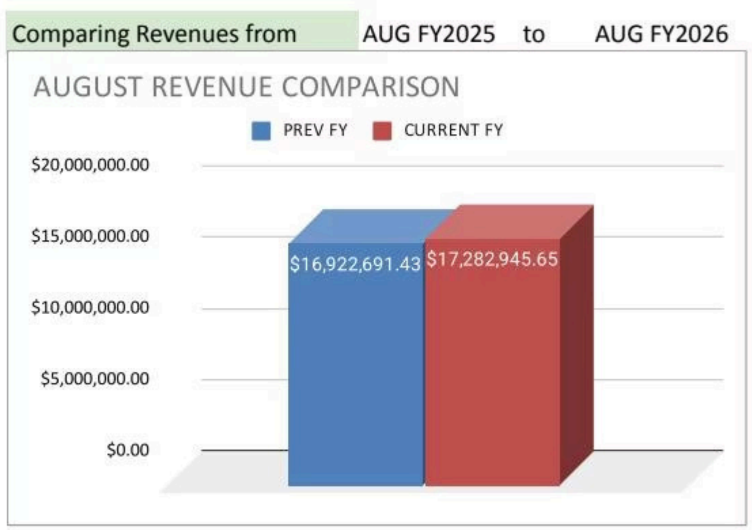
BBHCSD AUGUST 2025 CFO REPORT

This comprehensive financial analysis provides key stakeholders with a detailed examination of our school district's fiscal performance and projections for the upcoming year. Our analysis reveals a stable financial position with strategic insights into revenue patterns, expenditure management, and cash flow optimization.

The district continues to demonstrate sound financial stewardship while adapting to evolving educational funding models and operational requirements. This document outlines critical financial metrics, variance analysis, and forward-looking projections to support informed decision-making by board members and municipal stakeholders.

Revenue Performance Analysis



Forecasted Revenue

$56,542,204

Projected Revenue

$56,998,589

Variance

$456,385 FAVORABLE

Our revenue performance exceeds forecasted projections by $456,385 as of today, representing a favorable variance that strengthens our fiscal position. This positive outcome reflects careful financial planning and effective revenue management strategies.

1 State Revenue Adjustments

State revenues show slight decreases compared to last year, following typical patterns during budget implementation periods. Historical data indicates revenue stabilization typically occurs by October as state funding models are finalized.

2 Enhanced Other Revenues

Significant increases in "Other Revenues" category, primarily attributed to Tax Increment Financing (TIF) payments received. This represents a substantial improvement in non-traditional revenue streams supporting district operations.

Expenditure Management

$57.9M

Forecasted Expenses

$57.7M

Projected Expenses

$205K

Savings Achieved

Favorable variance

Our expenditure management demonstrates fiscal responsibility with actual expenses coming in **$204,798 under budget as of today**. This favorable variance reflects strategic cost control measures and efficient resource allocation across all operational categories.

Key Achievement: Despite increased contractual obligations and operational demands, the district maintained expenditures below forecasted levels through careful budget management and strategic purchasing decisions.

We will have an even clearer picture is September and October regarding salary and benefits with new teacher contracts, new staff and benefit selections from our open enrollment process.

Personnel Cost Increases

Current year salaries and benefits reflect new negotiated contracts for year-round employees. Additionally, retiree payments now extend through August under revised agreements, impacting cash flow timing but ensuring compliance with contractual obligations.

Service and Supply Management

Purchased services increased year-over-year, primarily due to timing of necessary purchases and strategic procurement decisions. Supply costs remained controlled, showing slight decreases compared to previous fiscal periods.

Fiscal Year Projections

Projected Change

-$727,123

Decrease to cash balance (less than forecasted in May 2025)

Ending Balance

$18,504,796

June 30, 2026 projection

Our cash flow analysis projects a managed decrease of $727,123 in the cash balance, resulting in an ending balance of $18.5 million by June 30, 2026. This substantial reserve demonstrates the district's strong financial position and ability to weather economic uncertainties.

This cash position exceeds recommended reserve levels and positions the district favorably for future strategic initiatives while maintaining fiscal responsibility and stakeholder confidence.

Cash Flow Analysis

The detailed monthly cash flow projection reveals seasonal patterns critical for operational planning and financial management. Property tax collections in August and February create significant cash influxes, while all periods in between require careful cash management due to reduced revenue streams.

1. Q1: July-September

Strong beginning with $31.5M peak in August, followed by strategic drawdowns for operational expenses and contractual obligations.

2. Q2: October-December

Gradual decline to $13.2M as property tax collections prepare for January collections.

3. Q3: January-March

Major revenue influx brings balance to $27.9M (Feb/Mar), primarily from property tax collections .

4. Q4: April-June

Controlled decline to projected $18.5M ending balance, maintaining healthy reserves for the following fiscal year.

Strategic Insight: The cyclical nature of our cash flow requires proactive management during low-cash periods while optimizing investment opportunities during high-cash months. Our projections indicate sufficient liquidity throughout all periods.